

THE IMMEDIATE BULLET has been dodged,” serial entrepreneur K. Ganesh tells us over a Zoom call, almost a week after US regulators took receivership of Silicon Valley Bank (SVB) and backstopped all deposits, triggering a collective sigh of relief in the global start-up founder community. “But start-ups should now be more careful about where they park their money.”

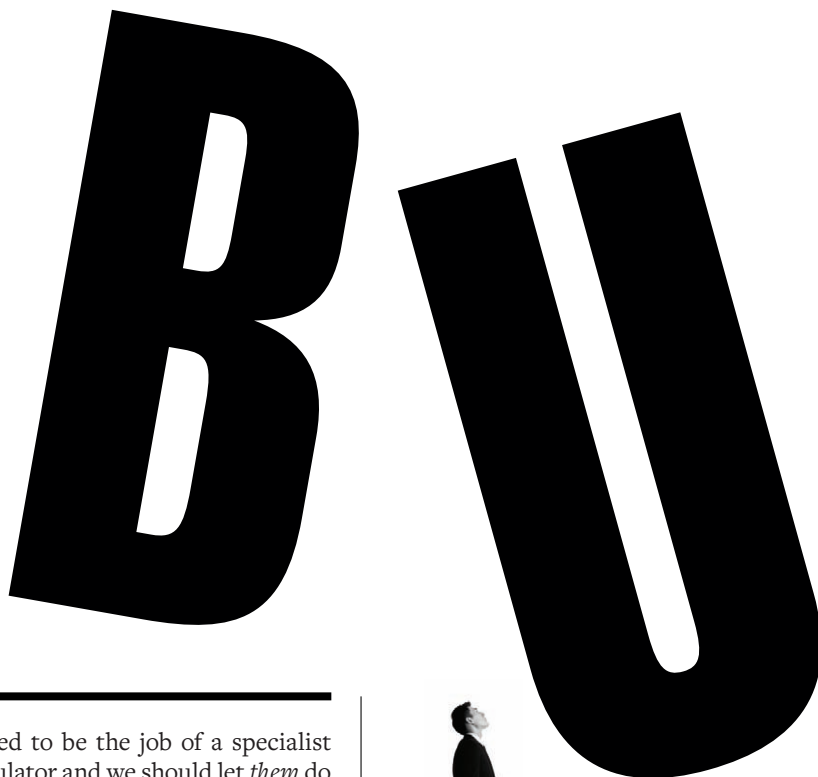
Hindsight is a wonderful thing, they say. And Ganesh, who mentors and invests in young Indian start-ups, has no qualms about it. “Even a month ago, I would’ve said SVB is 100 per cent safe,” he says. He’s also of the view that SVB wouldn’t have unravelled so fast if not for social media and the internet. “Today news goes viral and there’s instant panic. Then there’s mobile banking, which makes it possible to withdraw \$42 billion in a day. So, we need to prepare for *this* internet era.”

Ganesh is, of course, alluding to one of the most dramatic financial meltdowns in history. SVB, a trusted banker to the global tech ecosystem for around 40 years, saw its deposits evaporate almost overnight after some investor-types rang the alarm bells on the internet, leading to a (digital) bank run of epic proportions. By the time SVB’s assets were seized by US regulators on March 10, over 37,400 start-ups and 1,000-plus VC firms globally were staring at a liquidity crunch.

Can one adequately prepare for a Black Swan event like this?

After the SVB collapse, several observers say that start-ups need to have clear visibility into the balance sheets of banks they partner with. But that may not be pragmatic. “It’s like asking a car buyer to do a technical evaluation of brakes and airbags before buying the car. This is sup-

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posed to be the job of a specialist regulator and we should let *them* do that,” says Anand Prasanna, Managing Partner at mid-stage VC firm Iron Pillar Fund. So, what would his advice to portfolio companies be? “Other than the standard treasury management best practices like distributing the cash across three-four sizeable banks, there’s nothing we will recommend,” says Prasanna.

This may have been the biggest learning from SVB’s collapse that left hundreds of founders and investors in the lurch for 72-odd hours. The need for diversification and risk management, or simply having a Plan B, has never been greater. But most early-stage start-ups—the worst hit by the SVB fall-

out—typically don’t have a Plan B. Heck, sometimes even their Plan A isn’t market-tested or crisis-proofed. They do what a hundred others before them did or, simply, what their investors tell them to do.

But that might be changing after the “extinction-level event”—as Y Combinator dubbed it—they were faced with recently. “For the first time, risk management is getting